

Weekend Healthcare Pulse: Is Japan the land of cheap executives? Not a sign of frugality and some undesirable consequence perhaps

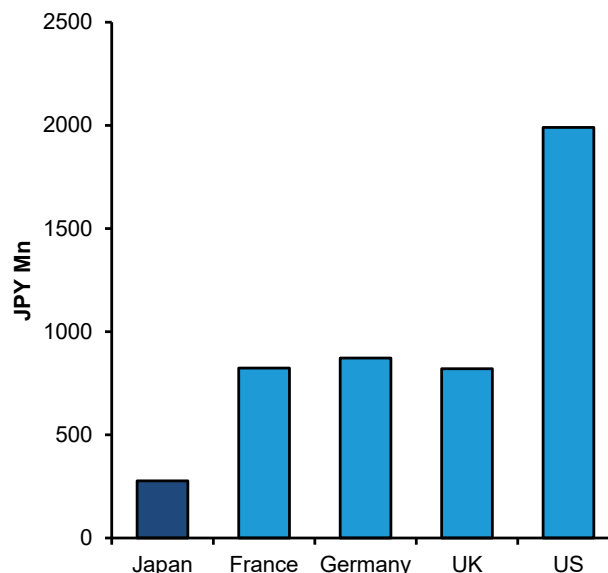
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SIGNIFICANT COMPENSATION GAP EXISTS BETWEEN JAPANESE EXECUTIVES AND THEIR US & EU PEERS. THERE ARE CONSEQUENCES

An investor arriving from the US, where the debate over CEO overpay rarely quiets down, cannot help but notice the opposite phenomenon in Japan: executives there are paid strikingly little relative to their global peers. A recent survey shows Japanese CEOs earn just a fraction of what their US and European counterparts take home, with the gap running 3-7x (Exhibit 1). Company size and profitability explain part of this, since US firms tend to be larger and more profitable in dollar terms. Yet, the scale alone falls well short of accounting for a gap this wide. Pharma makes the puzzle even more striking. It is one of the most globalized industries in the world, with Japanese, European, and US companies competing head-to-head for the innovations, therapeutic markets, talents, and capital. However, the executive compensation practices remain stubbornly local. Based on data we compiled across public pharmaceutical companies in Japan, Europe, and the US, executives at US/EU pharma companies earn roughly 6x their Japanese counterparts on average (Exhibit 2). In this report, we examine the structural and cultural drivers behind this disparity, along with early signs that Japanese companies are beginning to rework executive incentive structures to close the gap and, hopefully and most importantly, improve their performance.

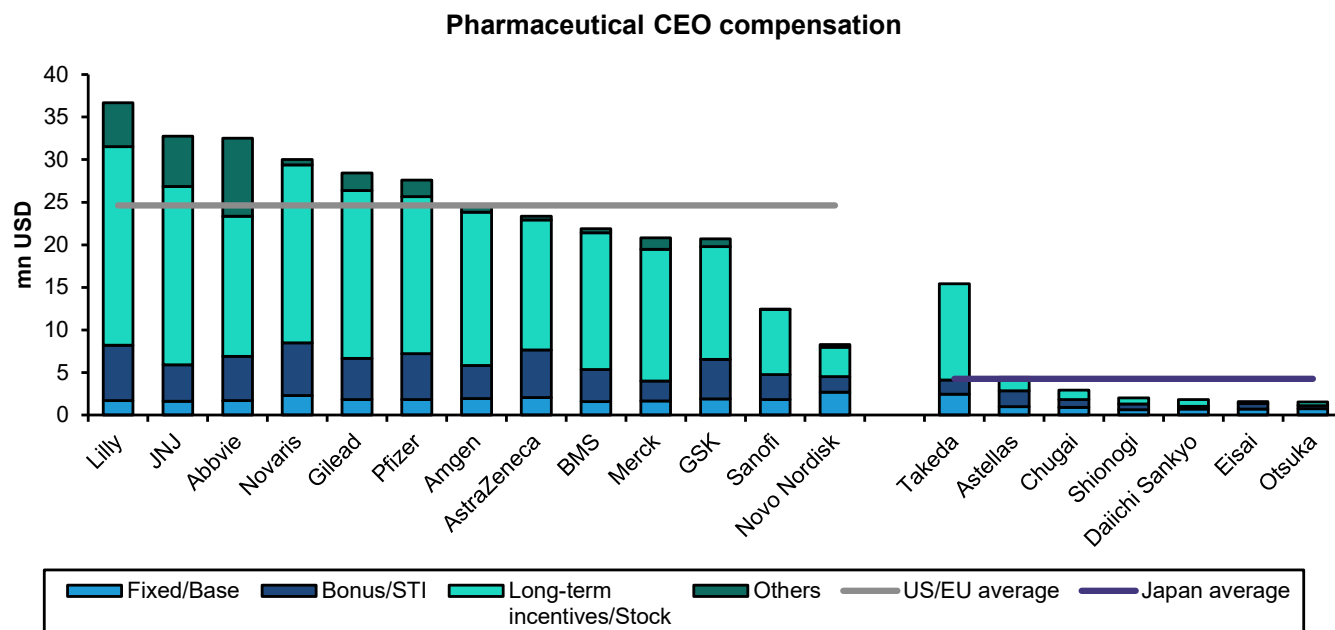
EXHIBIT 1: Japanese CEO are paid substantially less than their US/EU peers

Median CEO compensation (2023)



Median of companies with revenue above JPY 1Tn
 Source: WTW analysis, Bernstein analysis

EXHIBIT 2: Japanese pharma CEOs are paid far less than their peers in the US and Europe



Lilly, Pfizer, Gilead, Amgen, Merck, BMS and Abbvie are covered by Breen, JNJ is covered by Lee, AstraZeneca, Novartis, GSK, Sanofi and Novo Nordisk are covered by Smith
Source: Company reports, Bernstein analysis

CULTURE, LABOR REGULATION AND MARKET DYNAMICS, AND LACK OF EQUITY-BASED COMP CONTRIBUTE TO THE DIFFERENCE IN CEO COMPENSATION

Culture plays a big role. Japanese corporations have traditionally rewarded tenure and organizational loyalty over individual output, a norm rooted in the seniority based employment system and the country's well known lifetime employment practice: many company employees, aka salary men, work for the same company through their career, ~40 years. Because executives are almost universally promoted from within, it becomes structurally difficult to pay someone dramatically differently in year 36 of service versus year 35 without upending internal pay norms built over decades. These dynamics are visible in the data: across CEOs in the US, EU, and Japan, Japanese pharma chiefs have spent an average of ~37 years at their company before taking the top job, versus just ~21 years for their global peers (Exhibit 3). That 16-year gap is not a rounding error, but rather reflects a fundamentally different path to the corner office, one built on internal progression rather than external hiring or rapid promotion, and it naturally compresses how

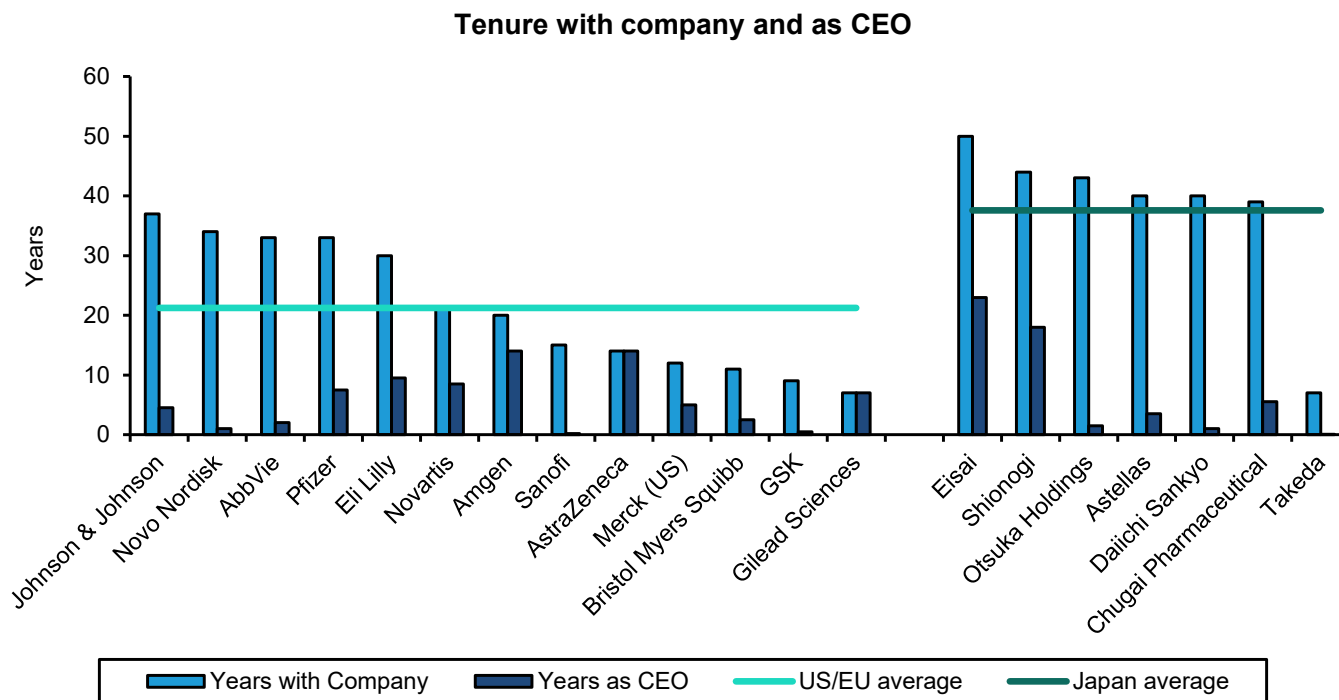
much pay can deviate from the incumbent structure at any single step.

Labor regulation, market dynamics and job security. A

byproduct of the lifetime employment practice is limited external executive mobility in the labor market. Because career paths are largely internal, and it is difficult to dismiss an executive (or any employee for that matter), CEOs are rarely recruited externally, thus less need to pay premium to attract and retain leadership talents. As shown in Exhibit 3, for pharmaceutical executives, in the US and EU we can observe a good mix of internal promotion and external hires, while Japanese CEOs (except Takeda) are universally long-time veterans within the same organization.

Lack of equity-based compensation. Historically, Japanese executive remuneration consisted mainly of fixed cash salary, with performance-based pay, and stock options were rarely used. In the US, equity awards (stock options and RSUs, Restricted Stock Unit, a form of employee compensation, restricted through a vesting period that may last several years), performance shares) make up the majority of CEO pay.

EXHIBIT 3: Japanese pharma CEOs typically stay in the same company for their life



Source: Company reports, Bernstein analysis

JAPANESE EXECUTIVES HAVE BEEN COMPENSATED WITH FAR LESS EQUITY THAN THEIR US PEERS AS THERE IS LITTLE INSTITUTIONAL PRESSURE FOR THE JAPANESE CORPORATE TO ADOPT THE US PRACTICE

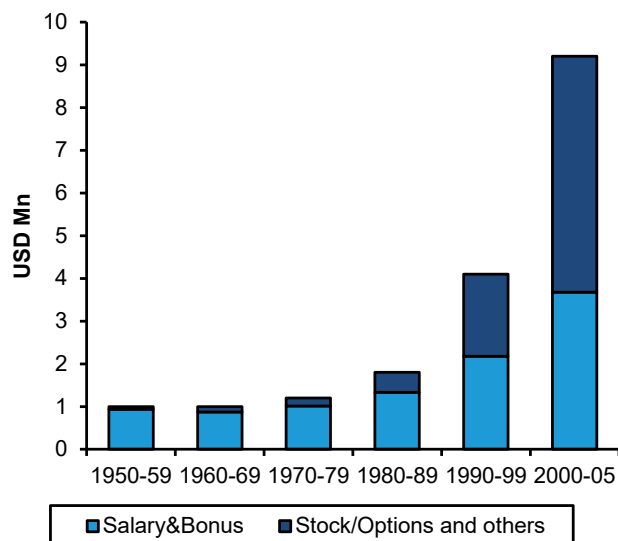
In the US, equity has become the dominant form of executive pay, but that was historically not always the case: the shift away from cash and bonus took multiple decades to unfold (Exhibit 4). No single factor drove the change, but rather it was a product of corporate governance reform, shifting tax incentives, and evolving accounting rules that together made equity-based pay both more attractive to the companies and recipients and easier to justify to their shareholders. The underlying logic is straightforward: paying executives in shares ties their financial incentives directly to the outcomes shareholders care about, thus a cleaner alignment mechanism than cash bonuses tied to short term targets (e.g., this year's financial and operational achievement). That logic has since hardened into formal policy. Many US pharma companies now mandate a minimum equity holding for executives, typically expressed as a multiple of annual base salary. Eli Lilly is a good example, where the CEO is required to hold stock worth 12x annual base salary.

Japanese pharma CEOs still take home most of their pay in cash and bonus, a sharp contrast to their US counterparts (Exhibit 5). It can partly be explained by structural rather than cultural: Japanese public companies have long operated within

complex cross-shareholding networks, arrangements that were explicitly designed to ensure the job security of executives and shield them from the equity market discipline. Under that system, a manager's job security rested on goodwill from peer companies and banks rather than on an activist shareholder base who holds the management accountable. With little institutional pressure to hold personal equity or tie personal wealth to the share price, there was simply no structural incentive pushing Japanese executives toward equity based pay the way there was in the US.

EXHIBIT 4: US CEO pay has evolved from mostly cash to mostly equity

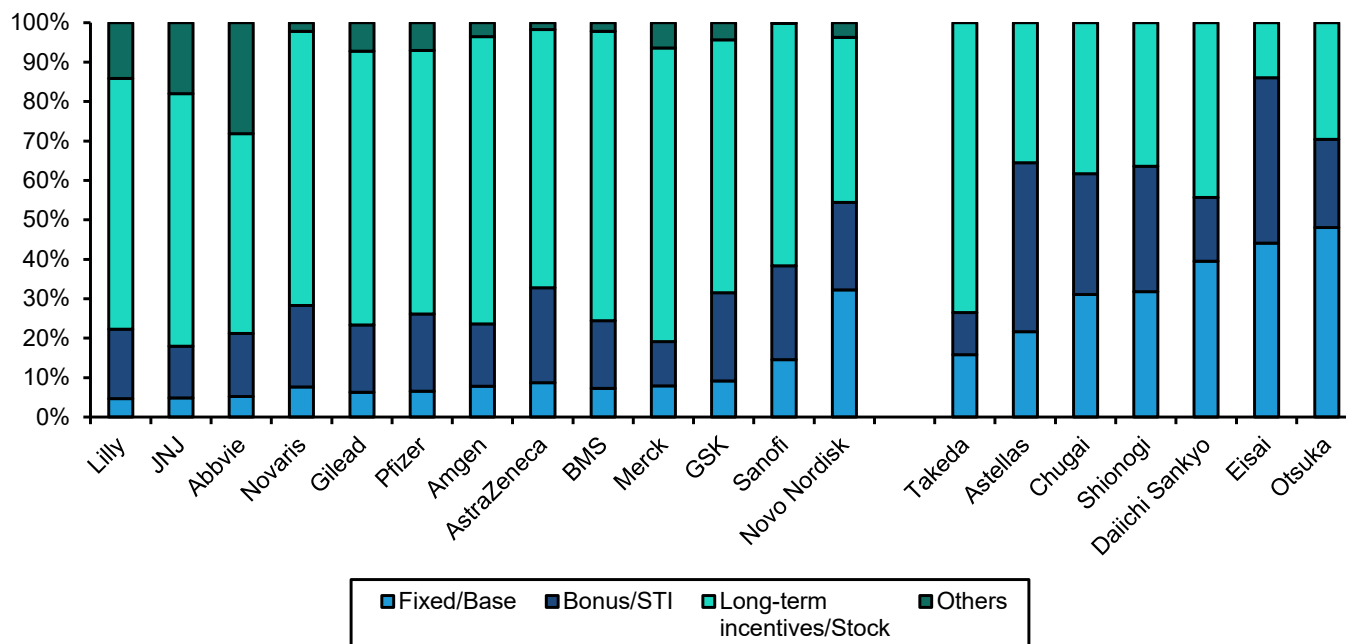
CEO pay structure of largest 50 firms in the US



Source: Frydman and Jenter, published on NBER.org

EXHIBIT 5: Japanese CEOs still gets most of their compensation in non-stock form

CEO compensation by type



Source: Company reports, Bernstein analysis

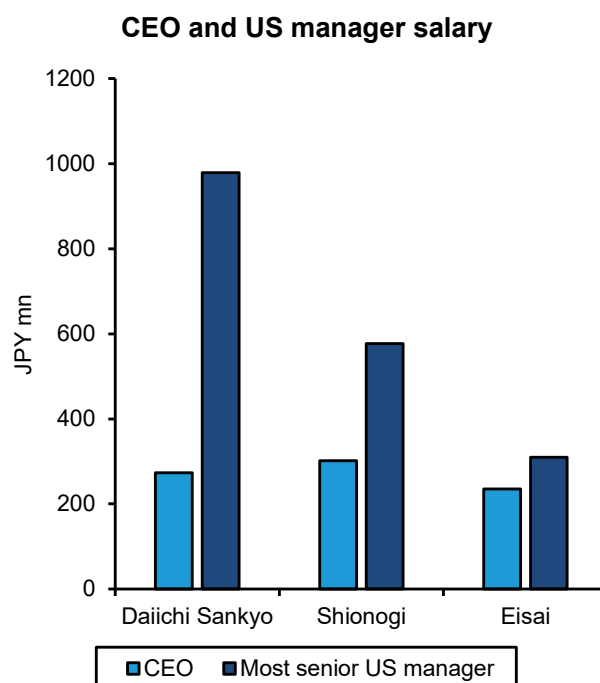
MANAGEMENT OWNING EQUITY IS GOOD FOR CORPORATE AND SHARE PERFORMANCE. JAPAN IS SLOWLY BUT SURELY MOVING IN THE RIGHT DIRECTION, AND WE WANT MORE

Management not having their wealth tied to stock is suboptimal for shareholders. [The salary & bonus-based compensation scheme does incentivize Japanese executives to drive accounting metrics.](#) However, multiple researches have shown [Japanese top managers historically had little financial incentive to maximize shareholder wealth](#), as their wealth will not go up when the stock performance is good, and they receive little punishment for poor results. In addition, since the bigger firms tend to pay more under salary & bonus-based schemes, Japanese executives had incentives to grow the firm size (i.e., topline and headcounts), which benefits managerial prestige rather than to raise return on equity. Intuitively, this is not a great alignment of executive's interest and shareholders'. For companies that operate globally, such as Japan pharmaceutical companies, an extra problem will emerge when these companies hire US or EU nationals as executives in Japan or elsewhere. We have seen non-Japanese non-CEO executives receive higher pay than CEOs at multiple Japanese pharma companies. The awkwardness does not stop there: since the US executives' pay follows the US compensation structure, it has created situations where an employee who owns the most shares only influences a division within a company (e.g., the US commercial org, Exhibit 6). One way of solving this issue is to grant more shares to the Japanese executives and require them to hold more equity ownership as in the US.

The government has been pushing reforms to increase company executives' equity ownership. Japan's governance reform push traces back to the [Stewardship Code](#) in 2014 and [the Corporate Governance Code](#) in 2015, both part of the Abe administration's broader effort to lift capital efficiency and profitability across corporate Japan. Subsequent revisions in 2018 and 2021 went further moving the framework from broad principles toward more prescriptive rules for Prime Market listed companies: explicitly recommending CEO succession planning, independent remuneration committees, and closer links between pay and shareholder value. The Ministry of Economy, Trade and Industry, METI, has reinforced this from the policy side, repeatedly updating its guidebook on board members' incentive plans since 2017 to push companies toward stock-based and performance-linked compensation as a lever for bolder, faster decision-making.

The CEO equity incentive has been increasing. Data suggest that the equity as a form of compensation is increasing (Exhibit 8), but at this moment the percentage of stock based incentives is still considerably lower than US/EU. Going forward, more equity ownership should bring executive incentives to be more aligned with shareholders.

EXHIBIT 6: Japan pharmaceutical companies typically pay more and in different ways to their US executives

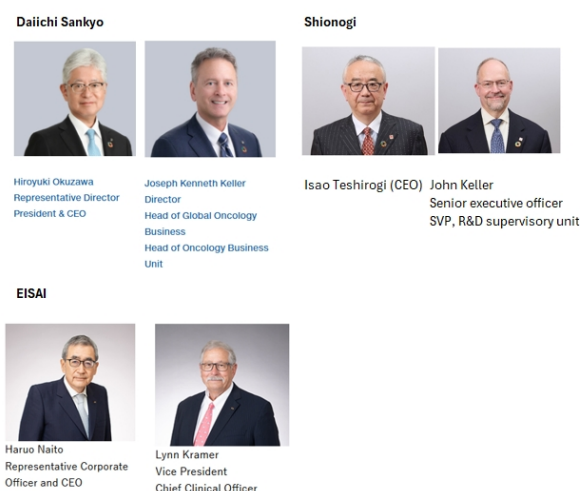


*Total comp, cash and non cash

Highest paid (per disclosed information) US manager: Daiichi Sankyo-Head of global oncology business/Head of oncology business unit; Shionogi-SVP, R&D supervisory unit; Eisai: VP/Chief clinical officer

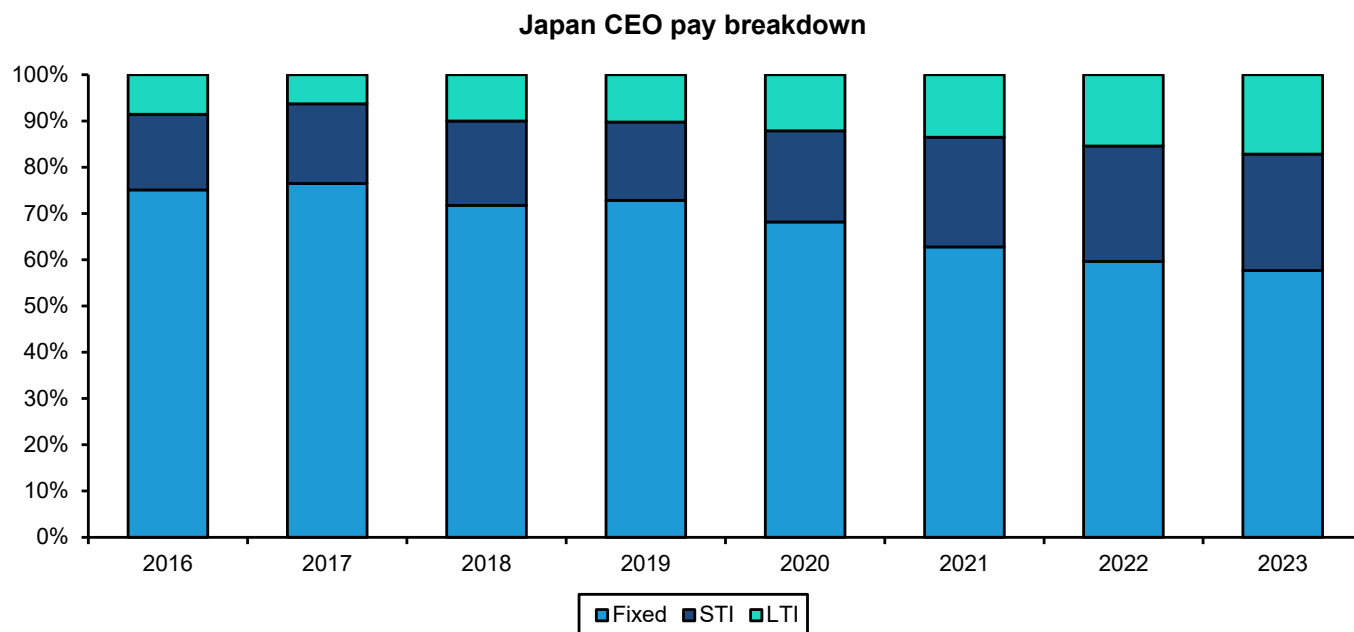
Source: Company reports, Bernstein analysis

EXHIBIT 7: Executives mentioned in Exhibit 6



Source: Company reports, Bernstein analysis

EXHIBIT 8: **Japan CEO variable compensation is growing**



Source: Hideaki et al, RIETI, Bernstein analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	30 Jul 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
4503.JP (Astellas)	M	JPY	2,287.00	2,200.00	16.3%	JPY	162.77	170.69	171.70	14.1	13.4	13.3
4578.JP (Otsuka)	M	JPY	11,305	11,600	18.9%	JPY	685.06	582.89	634.28	16.5	19.4	17.8
4568.JP (Daiichi Sankyo)	O	JPY	2,889.00	4,500.00	(58.3)%	JPY	140.37	152.26	216.35	20.6	19.0	13.4
4502.JP (Takeda)	O	JPY	5,718.00	6,900.00	(4.3)%	JPY	517.00	483.65	523.12	11.1	11.8	10.9
4519.JP (Chugai)	O	JPY	7,069.00	9,700.00	(41.0)%	JPY	263.73	317.24	370.07	26.8	22.3	19.1
4507.JP (Shionogi)	M	JPY	3,041.00	3,000.00	(17.1)%	JPY	241.11	247.55	264.99	12.6	12.3	11.5
4523.JP (Eisai)	O	JPY	5,031.00	5,300.00	(17.6)%	JPY	136.78	195.67	231.26	36.8	25.7	21.8
JPL			2,570.52									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

4502.JP estimate is Adjusted EPS; 4502.JP valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

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